

|| RAUDRA ||

Rage, anger and annoyance...

The establishment of Special Economic Zones in metropolitans has invited enough trouble in the form of mass agitations, time and again. However, SEZs have a brighter side that yet remains unrevealed.

VISUALISING GROWTH

Of late, Special Economic Zones (SEZ) have been in the news for all the wrong reasons. Even after their projection of being a catalyst for economic and industrial growth, SEZs have landed into troubles and controversies time after time.

Wide protests by farmers in West Bengal, Mumbai, Haryana and other parts of India have brought SEZs under the scanner. Various interest groups have questioned the displacement of people and land acquisition practices. Some have even gone to the extent of asking to scrap the SEZ policy.

To put an end to this rising fear and anger against SEZs, the Government of India has taken appropriate steps. By limiting the size of SEZs and putting an end to acquisition of agricultural land, the government has further made its norms strict. It is ensuring that SEZs don't get degenerated into hunting grounds for the real estate developers.

The central government has remained firm on its SEZ policy. It knows how SEZs can play an important role in driving the Indian economy to new heights. For this reason, the SEZ Act 2005 came into effect in 2006.

The SEZ Act 2005 aims at generating additional economic activity, promoting exports, attracting foreign investments, creating employment opportunities and developing infrastructural facilities. The act allows cent per cent tax

exemption from the income generated through SEZ for a period of 10 years along with various other benefits and incentives. And it's not surprising if many business houses and real estate developers are applying for large tracts of land across the nation.

The central government is giving thrust to SEZs for manufacturing business — textiles, leather footwear and many more — which would involve labour intensive manufacturing. Many of these SEZs have started providing direct employment. For example: SEZ for jewellery manufacturing in Hyderabad has already employed 2,000 persons, majority of them are from landless families. Further creation of 30,000 jobs has been projected from this SEZ. The Special Economic Zones pertaining to electronic hardware of two renowned companies in Sriperumbudur (Tamil Nadu) are already providing employment to more than 11,000 people. According to the National Association of Software and Services Companies (NASSCOM), Special Economic Zones related to IT/ITES are going to create 12.5 lakh jobs in the future.

Considering the above mentioned facts, SEZs can prove to be the real engine of growth. The central government just needs to strike a balance by catering to the legitimate interests of all the stake holders so that these zones of contentions become the zones of growth and prosperity.



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